Blessed G/Michael Catholic Secondary School

Semester 1 Economics Mid1 Examination for Grade9

Academic Year: 2024 / 2018 E.C. Time Allowed: 1:30'

Name: _____ Grade & Sec: Grade9 _____ R.No: _____

I. Write 'True' if the statement is correct and 'False' if it is incorrect.

_____ **1.** Microeconomics deals with individual consumers and firms.

_____ **2.** Normative economics is value-free and objective.

_____ **3.** Households are the buyers of factors of production.

_____ **4.** In a command economy, all production is controlled by private firms.

_____ **5.** Capitalism allows private ownership and competition.

_____ **6.** Deductive and inductive methods compete with each other.

II. Choose the best answer among the given alternatives.

_____ **7.** The basic economic problem arises because:

A. Resources are unlimited
B. Human wants are limited
C. Resources are scarce but wants are unlimited
D. Governments mismanage

_____ **8.** Opportunity cost refers to:

A. The monetary cost of goods
B. The next best alternative foregone
C. Total production cost
D. The accounting profit

_____ **9.** Which point on a PPF (Production Possibility Frontier) is unattainable?

A. Inside the curve **B.** On the curve **C.** Outside the curve **D.** None

_____ **10.** "How to produce goods?" is also called:

A. Problem of allocation
B. Problem of choice of technique
C. Problem of distribution
D. Problem of consumption

_____ **11.** Which is a characteristic of a mixed economy?

A. Collective ownership only
B. Private ownership only
C. Co-existence of private and public sectors
D. No government planning

_____ **12.** The deductive method proceeds from:

A. Specific to general **B.** Facts to hypothesis **C.** General to specific **D.** Data to theory

_____ **13.** Which of the following is a feature of normative economics?

A. It deals with facts
B. It includes value judgments
C. It focuses only on data
D. It ignores ethics

_____ **14.** Among the following, which one is a scarce resource?

A. Oxygen in atmosphere **B.** Land **C.** Sunlight **D.** Ambient air

_____ **15.** Which of the following is correct?

A. Any disagreement on normative economics can be resolved through fact

B. Economic growth can be one concern of microeconomics
C. Inductive reasoning analyze from specific to general
D. All of the above

____ **16.** Which of the following statements would best describe firms?

A. They are owners of factor resources
B. They mix factor resources and change it into one final output
C. They impose taxes on households
D. They are buyers of final output

____ **17.** Given a country's production combinations: Combination C (20 Machines, 100 Food) and Combination D (30 Machines, 0 Food). What is the total opportunity cost in food when moving from C to D to produce 10 extra machines?

A. 50 units of food **B.** 100 units of food **C.** 150 units of food **D.** 200 units of food

____ **18.** When moving from combination C (20 Machines, 100 Food) to D (30 Machines, 0 Food), what is the per-unit opportunity cost of producing each additional machine?

A. 0.1 units of food **B.** 5 units of food **C.** 10 units of food **D.** 20 units of food